



OBITUARY **N. VAGHUL**

A Versatile Man, Mentor, Visionary Leader

Ahead of his time, Narayanan Vaghul championed venture capital, establishing the over-the-counter exchange and co-promoting the National Stock Exchange

BY **KALPANA MORPARIA**

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I JOINED ICICI in 1975 in the legal department. In 1985, when S. S. Nadkarni, the Chairman of ICICI, became the Chairman of IDBI, there was much speculation about his successor. The announcement of Narayanan Vaghul as the new Chairman was met with keen interest. I vividly recall his first day at our Churchgate office in Mumbai. In an era when banking was conservative and senior leaders donned suits, Vaghul, a tall and imposing figure, stood out in a casual bush shirt.

When he took over in August 1985, K. V. Kamath was his executive assistant. Vaghul immediately established a Corporate Planning and Policy division under a young Kamath's leadership, recognising the need for long-term strategy in a changing en-

vironment. As the legal department was small, I frequently interacted with him, getting involved in every new activity and institution being set up.

Vaghul redefined the role of in-house lawyers, expecting us to contribute to recovery efforts beyond just litigation. In one notable case, we recovered a non-performing loan using a State Bank of India guarantee, a strategy that proved highly successful.

The late Eighties were challenging due to India's balance of payments crisis, with reserves below \$2 billion. Despite ICICI lacking a credit rating, Vaghul prioritised foreign currency inflow, leading bond-raising programmes and syndicated loans to support Indian industry pre-liberalisation.

Anticipating the changes post-1991 liberalisation, Vaghul foresaw the importance of private sector banking and debt markets for financ-

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Under his leadership, we launched several initiatives, including the Technology Development and Information Company of India (TDICI), CRISIL, and the Shipping Credit and Investment Corporation of India (SCICI), a financial institution dedicated to shipping. As a lawyer, I played a key role in setting up these ventures.

ing India's capital needs. Recognising the necessity of a strong investment bank, he partnered JP Morgan to establish ICICI Securities in 1993, a venture I closely worked with.

Our strategy group, predicting growth in India's savings and investment pool, entered the asset management business with JP Morgan as a partner. Significant capital